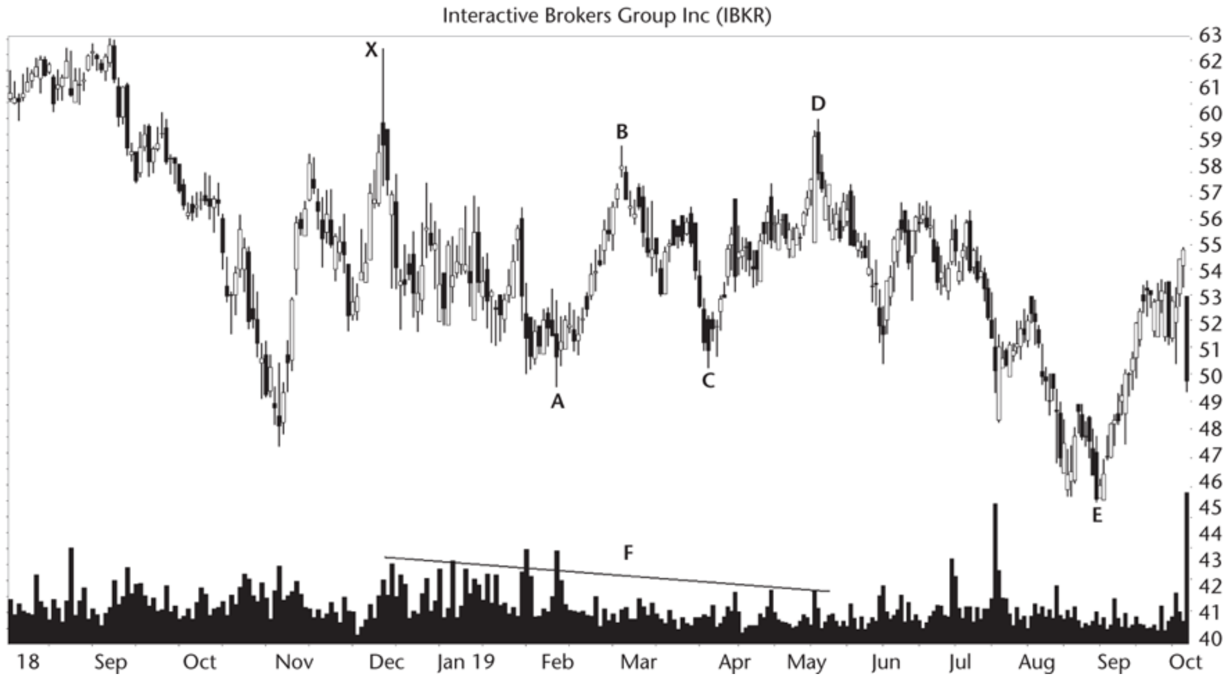

Figure 37.1 This bearish Gartley sees price break out downward, and the drop from D was worth trading.

If you do the math for this pattern, we will know the price D is supposed to be. When it appears, let's say we short two days later, just to be safe that the stock has put in a top at D, filled at 55.

We decide to sell after E put in a double bottom, at about 48. The difference, $7 a share or 13%, is our profit. That's a reasonable expectation for this trade, and it shows the power of a Gartley. You may have been able to make more or less, depending on your trading skills and your courage.

One last thing: Volume trends downward as shown by line F. I know you've been waiting for me to say that, so *tag*, you're It.

Identification Guidelines

Table 37.1 shows the identification guidelines for the bearish Gartley, and **Figure 37.2** provides an example for your viewing pleasure. Don't forget the popcorn.

This bearish Gartley (which appears as turns XABCD) shows a frequent anomaly found in the pattern. Notice how price dips after point D before moving higher to G. A visual examination of 100 bearish Gartleys shows